“WEALTHY” DEFINED

Ask the average American to define the term *wealthy*. Most would give the same definition found in *Webster's*. Wealthy to them refers to people who have an abundance of material possessions.

We define wealthy differently. We do not define wealthy, affluent, or rich in terms of material possessions. Many people who display a high-consumption lifestyle have little or no investments, appreciable assets, income-producing assets, common stocks, bonds, private businesses, oil/gas rights, or timber land. Conversely, those people whom we define as being wealthy get much more pleasure from owning substantial amounts of appreciable assets than from displaying a high-consumption lifestyle.

THE NOMINAL DEFINITION OF WEALTHY

One way we determine whether someone is wealthy or not is based on net worth— “cattle,” not “chattel.” Net worth is defined as the current value of one's assets less liabilities (exclude the principle in trust accounts). In this book we define the threshold level of being wealthy as having a net worth of $1 million or more. Based on this definition, only 3.5 million (3.5 percent) of the 100 million households in America are considered wealthy. About 95 percent of millionaires in America have a net worth of between $1 million and $10 million. Much of the discussion in this book centers on this segment of the population. Why the focus on this group? Because this level of wealth can be attained in one generation. It can be attained by many Americans.

HOW WEALTHY SHOULD YOU BE?

Another way of defining whether or not a person, household, or family is wealthy is based on one's expected level of net worth. A person's income